

Banking Regulation & Policy Department
Bangladesh Bank
Head Office
Dhaka

BRPD Circular Letter No. 02

19 February, 2007
Date: -----
07 Falgun, 1413

All Scheduled Banking Companies functioning in Bangladesh

Dear Sirs:

Issue and Purchase of Banking Instruments etc..

It has been recently observed that during issuance of various banking instruments viz. P.O, T.T., DD etc. by banks and purchase of the same including inter-customer and inter-bank bills, credit instruments, cheques etc. by the same or another bank, the compliance of proper banking norms along with bank's internal and inter-bank verification/scrutiny in order to ensure the genuineness and bonafides of the related instruments, is being violated which is fraught with great risks for the bank concerned. Responsibility of such undesirable activities firstly rests with the branch management while the liability of oversight failure as regards prevention thereof finally lies with the bank management.

02. Chief Executives of all banks are, therefore, hereby advised to immediately introduce, under their direct supervision, an internal control system more effective, accountable and accurate in order to ensure that proper banking norms are meticulously followed by respective bank officials in course of banking transactions related to issue and purchase of the above instruments and no such risky situation for the bank does occur for non-compliance thereof and to take stern internal disciplinary and legal measures against the bank officials/persons found liable for such non-complying/violative situation.

03. The Chief Executives, after introduction of above oversight measures, shall submit to this department a summary of findings obtained in transactions of above accounts regularly on quarterly basis before the respective 15th proximo.

Please acknowledge receipt.

Yours sincerely,
Sd/-
(Naba Gopal Banik)
General Manager
Phone: 7117825